



ADVANCED ACCOUNTING (110)

—Secondary— STATE – 2019

Multiple Choice and Short-Answer:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Problems:

Problem 1: Allocation of Costs _____ (24 points)

Problem 2: Adjusting Entries _____ (26 points)

Problem 3: Financial Statement Analysis _____ (30 points)

Problem 4: Journal Entries _____ (34 points)

TOTAL POINTS _____ ***(144 points)***

**Graders: Please double check and verify all
scores and answer keys!**



General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals.
- Use 360 days for interest calculations.

Multiple Choice (2 points each):

- | | | |
|------|-------|-------|
| 1. B | 6. A | 11. A |
| 2. D | 7. C | 12. C |
| 3. A | 8. A | 13. D |
| 4. C | 9. A | 14. C |
| 5. A | 10. C | 15. D |

Problem 1 (24 points) – Each bolded item is worth 1 point.

Abbley Corporation
Allocation of Departmental Expenses
For the month ending September 30, 2019

	Payroll Rate (%)	Payroll Cost Allocation	IT Rate (%)	IT Allocation	Maintenance Rate (%)	Maintenance Allocation
Dept 1	50/200 or 25% or .25	\$ 30,475	110/500 or 22% or .22	\$ 70,840	1200/7500 or 16% or .16	\$ 31,040
Dept 2	90/200 or 45% or .45	\$ 54,855	180/500 or 36% or .36	\$ 115,920	3750/7500 or 50% or .50	\$ 97,000
Dept 3	60/200 or 30% or .30	\$ 36,570	210/500 or 42% or .42	\$ 135,240	2550/7500 or 34% or .34	\$ 65,960
Total	100%	\$121,900	100%	\$ 322,000	100%	\$ 194,000



Problem 2 (26 points) - Prepare the following adjusting entries for the WhatsUp Company for the month of December 2019. Information needed is as follows:

Graders: The date is worth 2 points (contestants might show date on each entry, which is acceptable). Each entry is worth 2 points, 1 point for bolded account and 1 point for bolded correct debit/credit amount. Total points are 26 points. Please note – abbreviations are allowed as shown in parentheses.

- The supplies account had a beginning balance of \$370 and \$4,800 of supplies have been purchased during the month. An inventory has been taken at month end and reveals a \$510 left.
- The depreciation of equipment is \$190.
- The depreciation of the building is \$615.
- The Unearned Fees liability account consists of \$15,000 of cash paid in advance from a customer for 5 months of service. The first month has now been earned.
- The December utility bill of \$3,125 is received in January.
- The accrued wages for the end of December are \$11,900.

General Journal

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Date	Description	Post Ref	Debit	Credit
12/31/19	<u>Adjusting Entries</u>			
	Supplies Expense (Supp Exp, Sup Ex)		4,660	
	Supplies (Supp, Sup)			4,660
	Depreciation Expense – Equipment (Depr Exp, Depr Exp – Equip)		190	
	Accumulated Depreciation – Equipment (Accum Depr, Accum Depr – Eq)			190
	Depreciation Expense – Building (Depr Exp, Depr Exp – Bldg)		615	
	Accumulated Depreciation – Building (Accum Depr, Accum Depr – Bldg)			615
	Unearned Fees (Unearn)		3,000	
	Fees Earned (Fees Earn or Fees Revenue)			3,000
	Utility Expense (Util Exp, Util Ex)		3,125	
	Accounts Payable (Acct Pay, A/P, Utilities Payable)			3,125
	Wages Expense (Wage Exp, Salary Ex)		11,900	
	Wages Payable (Wage Pay, Salary Pay)			11,900



Problem 3 (30 points) - Using the following financial information for the Sorenson Corporation, calculate the financial ratios listed in the table that follows.

Sorenson Corporation
Income Statement
For the Years Ended September 30, 2019 and 2018

	2019	2018
Sales	\$ 1,155,000	\$ 1,004,000
Cost of Goods Sold	<u>580,000</u>	<u>550,000</u>
Gross Profit	<u>575,000</u>	<u>454,000</u>
Operating Expenses:		
Salary and Wages Expense	80,000	70,000
Utilities Expense	67,000	78,000
Depreciation Expense – Building	10,000	10,000
Depreciation Expense – Vehicles	5,000	4,900
Depreciation Expense – Equipment	3,900	3,600
Repairs Expense	3,100	2,900
Insurance Expense	2,800	2,700
Supplies Expense	1,500	1,800
Miscellaneous Expense	<u>200</u>	<u>250</u>
Total Operating Expenses	<u>173,500</u>	<u>174,150</u>
Net Income	<u>401,500</u>	<u>279,850</u>

Sorenson Corporation
Retained Earnings Statement
For the Years Ended September 30, 2019 and 2018

	2019	2018
Retained Earnings, Beginning	\$ 1,538,500	\$ 1,348,650
Net Income (Loss)	401,500	279,850
Less Dividends	<u>-90,000</u>	<u>-90,000</u>
Increase (Decrease) in Retained Earnings		
Retained Earnings, Ending	<u>\$ 1,850,000</u>	<u>\$ 1,538,500</u>



Sorenson Corporation
Balance Sheets
September 30, 2019 and 2018

	2019	2018
Assets		
Current Assets:		
Cash	\$150,700	\$ 150,300
Accounts Receivable	213,000	217,200
Inventory	34,100	44,500
Prepaid Insurance	<u>13,200</u>	<u>12,000</u>
Total Current Assets	<u>411,000</u>	<u>424,000</u>
Property, Plant & Equipment:		
Land	1,450,000	900,000
Building	850,000	850,000
Less Accumulated Depreciation – Building	(160,000)	(120,000)
Vehicles	180,000	180,000
Less Accumulated Depreciation – Vehicles	(108,000)	(72,000)
Equipment	1,800,000	1,800,000
Less Accumulated Depreciation – Equipment	<u>(265,000)</u>	<u>(240,000)</u>
Total Property, Plant, and Equipment	<u>3,747,000</u>	<u>3,298,000</u>
Total Assets	<u>\$ 4,158,000</u>	<u>\$3,722,000</u>
Liabilities		
Current Liabilities:		
Accounts Payable	\$ 50,010	\$ 11,560
Salaries and Wages Payable	76,156	10,106
Unearned Rent	30,000	0
Current portion of Long-Term Debt	<u>61,834</u>	<u>61,834</u>
Total Current Liabilities	<u>218,000</u>	<u>83,500</u>
Long-Term Liabilities:		
Mortgage Note Payable	<u>800,000</u>	<u>810,000</u>
Total Liabilities	<u>1,018,000</u>	<u>893,500</u>
Stockholders' Equity		
Common Stock \$10 par (10,000 authorized, 9,000 issued)	90,000	90,000
Paid in Capital from sale of Common Stock	1,200,000	1,200,000
Retained Earnings	<u>1,850,000</u>	<u>1,538,500</u>
Total Stockholders' Equity	<u>3,140,000</u>	<u>2,828,500</u>
Total Liabilities and Stockholders' Equity	<u>\$ 4,158,000</u>	<u>\$ 3,722,000</u>



Calculate the financial ratios for 2019. (Round calculations to the nearest tenth or tenth percent, unless the answer is currency):

Graders: Each bolded answer is worth 3 points for a total of 30 points.

1. Working Capital	\$ 193,000
2. Current Ratio	1.9
3. Quick Ratio (Acid-Test Ratio)	1.7
4. Accounts Receivable Turnover	5.4
5. Number of Days in Receivables	67.6 or 68 days *Note some analysts always round to nearest day*
6. Inventory Turnover	14.8
7. Number of Days in Inventory	24.7 or 25 days *Note some analysts always round to nearest day*
8. Debt to Equity	.3 or 32.4%
9. Rate earned on Average Stockholders' Equity	13.5%
10. Earnings Per Share	\$ 44.61



Problem 4 (34 points) - The Constantine Crystal Corporation has the following stockholders' equity account balances on November 30, 2019. Record the selected entries for the year. Use the journal on this page and the next page.

Graders: Each entry is worth 2 points, 1 point for account and 1 point for correct debit/credit amount. The last line is worth 2 points (should *not* be an entry). Total points are 34 points. Please note – abbreviations are allowed, examples shown.

- Jan. 22 Sold 1,000 share of Preferred Stock for \$175,000.
- Apr. 1 Board of Directors declared a \$5 dividend per share on Preferred Stock and a \$0.25 per share dividend on Common Stock.
- Apr. 28 Paid the cash dividends.
- Jun. 10 Sold 10,000 share of Common Stock for \$210,000.
- Sept. 27 Board of Directors declared a \$5 dividend per share on Preferred Stock and a \$0.20 per share dividend on Common Stock.
- Oct. 31 Paid the cash dividends.
- Nov. 15 Board of Directors declared a common stock split of 2:1.

Date	Description	Post Ref	Debit	Credit
Jan. 22	Cash		175,000	
	Preferred Stock (Pref Stock, Capital Stock – Preferred)			100,000
	Paid in Capital – Preferred Stock (PIC – Pref, Additional Paid in Capital - Preferred)			75,000
Apr. 1	Dividends - Preferred or Retained Earnings (Div – Pref or RE, also Cash Dividends - Preferred)		45,000	
	Dividends - Common or Retained Earning (Div - Com or RE, also Cash Dividends - Common)		7,500	
	Dividends Payable (Div Pay)			52,500
	Please note Both dividends may be in one account only debit – Cash Div 52,500			
Apr. 28	Dividends Payable (Div Pay)		52,500	
	Cash			52,500
Jun. 10	Cash		210,000	
	Common Stock (Capital Stock – Common)			100,000
	Paid in Capital from sale of Common Stock (PIC – Comm, Additional Paid in Capital – Common)			110,000



Sep. 27	Dividends- Preferred or Retained Earnings (Div - Pref or RE, also Cash Dividends - Preferred)		45,000	
	Dividends - Common or Retained Earnings (Div - Common or RE; also Cash Dividends - Common)		8,000	
	Dividends Payable (Div Pay)			53,000
	Dividends Payable may be split between Dividends Payable – Preferred and Dividends Payable – Common; accept as correct as long as amount equals 53,000			
Oct. 31	Dividends Payable		53,000	
	Cash			53,000
Nov. 15	NO Entry – 2 points off if there is an entry			